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Secure Distribution Venture Pvt. Ltd.

What Is Structured Corporate Debt ?

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A Comprehensive Masterclass White Paper & Professional Handbook on Customized Wholesale Credit, Hybrid Instruments, Escrow Waterfalls, Security Architecture, Legal Frameworks, and Case Analysis in the Indian Corporate BFSI Market

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CHAPTER 1: PRODUCT OVERVIEW & FUNDAMENTAL CONCEPTS

1.1 Defining Structured Corporate Debt in India

Structured Corporate Debt represents a bespoke, non-standard wholesale credit architecture designed to address unique, complex, or high-yield financing requirements that standard commercial bank loans cannot accommodate. Unlike plain-vanilla corporate term loans or working capital limits, which rely on rigid formulaic underwriting standards and standardized quarterly cash flows, structured debt is tailor-made around specific asset pools, future project cash flows, promoter equity holdings, or specialized corporate triggers.

In the Indian financial market, structured corporate debt serves as a vital bridge between conventional low-cost senior bank credit (8.50%–11.00% p.a.) and expensive pure equity capital (20.00%+ expected returns). Offered primarily by Alternative Investment Funds (AIFs Category II), Private Credit Funds, Non-Banking Financial Companies (NBFCs), and specialized wholesale lending desks, structured debt delivers customized repayment schedules, risk-mitigated cash waterfalls, and enhanced yields ranging between 13.00% and 18.00% p.a. All-In YTM (Yield to Maturity).

1.2 Historical Trajectory & Growth of Private Credit in India

The landscape of corporate debt in India underwent a structural paradigm shift following two major institutional catalysts:

1. Enactment of the Insolvency and Bankruptcy Code (IBC) 2016: Replaced protracted debt recovery proceedings with a time-bound Corporate Insolvency Resolution Process (CIRP). This gave institutional lenders enforceability confidence and contractual protection under the statutory waterfall mechanism of Section 53.

2. RBI Prudential Framework & Asset Quality Reviews (AQR): Strict RBI provisioning guidelines restricted traditional commercial banks from funding high-risk transactions such as land acquisitions, promoter share buybacks, stressed asset resolution, or early-stage holding company debt. This regulatory gap accelerated the rise of private credit funds and structured debt AIFs in India.

1.3 Spectrum of Structured Debt Instruments

Structured corporate debt manifests across several specialized legal and financial structures in the Indian market:

• Structured Non-Convertible Debentures (NCDs): The predominant vehicle for structured debt in India, issued under Section 71 of the Companies Act 2013 and SEBI (Issue and Listing of Non-Convertible Securities) Regulations. NCDs provide flexibility in structuring cash coupons, Payment-In-Kind (PIK) compounding, and redemption premiums.

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• Promoter / Holding Company (HoldCo) Financing: Loans or NCDs extended to promoter holding companies secured by a demat pledge of equity shares in listed or operating subsidiaries. Funds are typically utilized for stake consolidation, enterprise growth, or debt deleveraging.

• Asset-Backed & Real Estate Structured Debt: Custom debt solutions providing last-mile completion capital for real estate projects, land refinancing, or infrastructure cash-flow monetization via Escrow / Trust & Retention Accounts (TRA).

• Special Situations & Turnaround Debt: Capital injected into companies undergoing operational turnarounds, debt restructuring, or acquisition of stressed assets out of the NCLT framework.

1.4 Master Comparison Matrix

The table below illustrates how Structured Corporate Debt compares against other major wholesale financial products in India:

Feature / Dimension	Structured Corporate Debt	Corporate Term Loan	Mezzanine Financing	High-Yield Bonds
Primary Lender Base	Private Credit AIFs, NBFCs, Special Desk Banks	Commercial Banks (Public/Private)	Private Debt Funds, AIFs, FPIs	Institutional & Retail Bond Investors
Cost of Capital (YTM)	13.00% – 18.00% p.a. All-In Yield	8.50% – 11.00% p.a. Floating Rate	14.00% – 22.00% p.a. (incl. Equity Kicker)	11.00% – 15.00% p.a. Fixed Coupon
Repayment Structure	Customized: Bullet, PIK, Cash Sweeps, Step-up	Equal Quarterly Installments post-moratorium	Bullet / Subordinated Amortization	Bullet / Periodic Coupon Settlement
Security & Priority	1st/2nd Pari-Passu Charge, Escrow TRA, Share Pledge	1st Pari-Passu Charge on Fixed Assets	Subordinated 2nd Charge or HoldCo Pledge	Senior / Unsecured depending on rating

> 📌 **ROOKIE MASTERY CONCEPT**
> Structured corporate debt is NOT a one-size-fits-all loan. Its fundamental value lies in flexibility—lenders design custom repayment triggers, PIK interest options, and cash sweep mechanisms aligned exactly with the borrower's projected operational cash flows.

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CHAPTER 2: STRUCTURAL ARCHITECTURE & CASH FLOW MECHANICS

2.1 Key Structural Elements

The architecture of a structured corporate debt transaction relies on distinct financial mechanics engineered to balance risk and return:

1. Tranching & Priority Stack: Debt facilities may be split into Senior Tranches (first claim on cash flows and assets) and Subordinated / Mezzanine Tranches (higher yield, junior claim). In certain structured securitizations, a First-Loss Default Guarantee (FLDG) or equity tranche absorbs initial credit losses.

2. Cash Coupon vs. Payment-In-Kind (PIK) Interest: To avoid choking a growing company's operational liquidity, structured debt often splits pricing into a lower Cash Coupon (e.g., 10.00% p.a. paid quarterly) and a PIK Coupon (e.g., 4.00% p.a. accrued and compounded to the principal balance, payable at maturity).

3. Cash-Flow Sweep Mechanism: A contractual requirement forcing the borrower to allocate a specified percentage (e.g., 50%–75%) of excess annual operational cash flows toward early principal redemption, accelerating deleveraging during prosperous periods.

4. Step-Up Coupons & Yield-to-Maturity (YTM) Redemption Premiums: The interest rate escalates over time if credit milestones are missed, or the facility incorporates a lump-sum Redemption Premium payable upon final exit to guarantee a minimum benchmark IRR (e.g., 15% YTM).

2.2 Trust & Retention Account (TRA) / Escrow Cash Waterfall

A foundational feature of structured corporate debt is the complete isolation of operational cash flows through a legally binding Trust & Retention Account (TRA) / Escrow Agreement executed with an independent Escrow Bank. All project revenues, receivables, and operational receipts are mandated to flow directly into the Escrow Account.

The table below details the statutory and contractual priority ranking of cash disbursements governed by the Escrow Waterfall Deed:

Waterfall Priority Tier	Cash Flow Recipient / Destination	Contractual / Legal Purpose
Tier 1: Statutory Dues	GST, Income Tax TDS, Statutory Payroll Dues	Mandatory statutory compliance under Indian tax laws

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Tier 2: Essential O&M	Approved Operational & Maintenance Expenses	Preserves core business operations and asset productivity
Tier 3: Senior Debt	Senior Bank Loan Interest & Scheduled Principal	Services senior secured lenders possessing 1st Pari-Passu charge
Tier 4: Structured Debt	Structured NCD Cash Coupon & Scheduled Amortization	Services structured credit facility as per Debenture Trust Deed
Tier 5: DSRA Replenishment	Debt Service Reserve Account (FD in Escrow Bank)	Maintains required 1 to 2 quarters of interest/principal buffer
Tier 6: Cash Sweep / Surplus	Prepayment of Debt / Unrestricted Borrower Account	Accelerated deleveraging or release of surplus to borrower

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CHAPTER 3: COMMON ELIGIBILITY CRITERIA & UNDERWRITING FRAMEWORK

3.1 Quantitative Financial Benchmarks

While structured debt underwriting is customized, institutional lenders evaluate candidate borrowers against rigorous financial and coverage parameters:

• Minimum Annual Revenue: INR 50.00 Crores to INR 1,000.00+ Crores, ensuring operating stability.

• EBITDA Scale & Margin: Minimum operating EBITDA of INR 15.00 Crores with sustainable EBITDA margins exceeding 12.00%–15.00%.

• Asset Cover Ratio: Total tangible asset coverage (or pledged asset value) must equal at least 1.50x to 2.50x the aggregate structured debt limit.

• Security Cover Ratio (Share Pledge): For promoter/HoldCo financing, the market value of pledged demat equity shares must maintain a minimum cover of 2.00x to 3.00x the outstanding loan amount.

• Debt Service Coverage Ratio (DSCR): Minimum projected DSCR of 1.25x to 1.40x across the loan tenure, calculated as:

DSCR = (EBITDA + Non-Cash Expenses) / (Interest Obligations + Principal Repayments)

3.2 Qualitative & Management Filters

1. CIBIL Commercial & CRILC Record: Flawless credit track record with zero SMA-2 (overdue > 60 days) or Non-Performing Asset (NPA) classifications across banking systems.

2. Promoter Equity Skin-in-the-Game: Promoters must maintain substantial unencumbered equity stake (typically 30.00% to 51.00%+) in the operating business.

3. Management Integrity & Transparency: Zero history of Wilful Defaulter or Non-Cooperative Borrower status under RBI guidelines, clean promoter background checks, and audited financials by reputed audit firms.

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CHAPTER 4: SECURITY PACKAGE & LEGAL DOCUMENTATION SUITE

4.1 Collateral Architecture

Structured corporate debt structures rely on multi-layered security packages designed to achieve legal enforceability and bankruptcy remoteness:

• Primary Asset Mortgage: First or second pari-passu mortgage over industrial land, factory buildings, warehouses, commercial real estate, or plant & machinery.

• Exclusive Charge on Cash Flows: Hypothecation of all current receivables, project revenues, and Escrow TRA bank accounts.

• Demat Share Pledge: Exclusive pledge of unencumbered promoter shares in dematerialized form with dynamic top-up / margin call triggers (e.g., mandatory top-up within 2 business days if share cover drops below 1.8x).

• Guarantees: Irrevocable, unconditional Personal Guarantees from key promoters and Corporate Guarantees from operating subsidiaries.

4.2 Complete Legal Documentation Suite under Indian Law

A structured debt transaction requires a robust, legally enforceable documentation suite executed under Indian statutory frameworks:

1. Debenture Trust Deed (DTD) / Master Facility Agreement: The primary agreement between the borrower and SEBI-registered Debenture Trustee detailing interest rates, repayment schedules, covenants, and events of default.

2. Intercreditor Agreement (ICA): Governs relationships between senior bank lenders and structured debt holders, establishing standstill periods (typically 90–180 days) and voting mechanics.

3. Escrow & TRA Agreement: Tripartite agreement executed between Borrower, Lenders/Debenture Trustee, and Escrow Bank defining cash flow collection and waterfall priorities.

4. Share Pledge Agreement & Non-Disposal Undertaking (NDU): Legal creation of pledge over demat shares with voting power retention clauses prior to default.

5. Statutory Perfection of Charge: Mandatory filing of ROC Form CHG-1 with the Registrar of Companies within 30 days under Section 77 of the Companies Act 2013, registration with CERSAI, and data upload to National E-Governance Services Limited (NeSL) Information Utility.

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CHAPTER 5: TENURE PROFILES, PRICING MECHANICS & CALL PROTECTIONS

5.1 Indicative Tenure & Amortization Profiles

Structured corporate debt facilities typically feature tenures ranging between 18 months (1.5 years) and 60 months (5 years). Repayment structures are tailored to borrower cash flows:

• Bullet Repayment with Redemption Premium: Principal settled fully at maturity, supported by refinancing, asset sale, or equity raising.

• Ballooning Amortization: Minimal principal repayments in initial years (e.g., 10% in Year 1, 20% in Year 2) escalating as project operations mature.

• Cash-Sweep Accelerated Paydowns: Mandatory prepayment of debt using excess operational cash flows.

5.2 Pricing Mechanics & All-In Yield Elements

The total yield (YTM) on structured corporate debt in India ranges between 13.00% and 18.00% p.a., structured as:

All-In Yield = Cash Coupon + PIK Accrual + Upfront Structuring Fee + Redemption Premium

• Cash Coupon: 9.50% – 12.00% p.a. paid monthly or quarterly.

• PIK Coupon: 2.00% – 4.00% p.a. compounded annually.

• Upfront Fee: 1.00% – 2.50% of facility size.

• Call & Prepayment Protections: Hard lock-in periods of 12 to 24 months during which voluntary prepayment is prohibited. Post lock-in prepayments incur 2.00% – 4.00% penalty fees plus Make-Whole clauses ensuring lenders receive their target minimum IRR.

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CHAPTER 6: SECTORAL APPLICABILITY & SUITABLE BUSINESS PROFILES

Structured corporate debt is particularly well-suited for specific industries and corporate scenarios in India:

1. Real Estate & Urban Infrastructure: Providing last-mile construction completion capital, approval funding, or land acquisition refinancing where banks face regulatory lending caps.

2. Promoter Holding Companies (HoldCo): Financing promoter share buybacks, buyout of private equity partners, or funding new venture capex without diluting voting control in core operating entities.

3. Mid-Market Industrial Growth & Acquisitions: Enabling fast-growing companies to execute inorganic acquisitions or strategic capex where current cash flows do not meet conservative bank DSCR requirements.

4. Special Situations & Turnarounds: Injecting growth capital into companies exiting restructuring frameworks or buying out distressed units out of NCLT insolvency proceedings.

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CHAPTER 7: KEY ADVANTAGES & STRUCTURAL LIMITATIONS

7.1 Comparative Matrix for Borrowers & Lenders

Stakeholder Perspective	Key Advantages	Structural Limitations & Risks
Corporate Borrower	• Bespoke repayment schedules aligned with cash flows • Non-dilutive capital preserving promoter equity control • Interest tax deductibility u/s 36(1)(iii) of Income Tax Act • Fast execution via Private Credit AIFs	• Higher cost of capital (13%–18% YTM vs 9% bank debt) • Strict cash waterfall controls via Escrow TRA • Restrictive financial covenants and monitoring • Share pledge enforcement risk upon default
Institutional Lender	• Superior risk-adjusted returns (13%–18% IRR) • Enhanced asset cover & share pledge security • Bankruptcy remote cash flow priority via Escrow TRA • Contractual priority under IBC Section 53 waterfall	• Subordinated position relative to 1st charge banks • Asset illiquidity in private unlisted debt • Refinancing risk at bullet maturity

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CHAPTER 8: COMPREHENSIVE REAL-WORLD CASE STUDY

8.1 Transaction Background & Borrower Profile

• Borrower: Vanguard Logistics & Warehousing Private Limited (VLWPL)

• Business Overview: Leading Indian third-party logistics (3PL) and cold-chain operator managing 4.5 million sq. ft. of warehousing space across Western and Southern India.

• Financial Background: Annual Turnover of INR 320.00 Crores; EBITDA of INR 45.00 Crores (14.06% margin). Existing Senior Bank Loan: INR 80.00 Crores @ 9.50% p.a.

• Strategic Objective: VLWPL identified an opportunity to acquire 3 strategically located logistics parks in Navi Mumbai and Bengaluru for INR 200.00 Crores. Commercial banks were unable to fund the acquisition due to exposure limits and rigid 1.50x DSCR thresholds.

8.2 Structured Debt Capital Architecture

A prominent Category II Private Credit AIF structured a customized INR 120.00 Crore Debt Facility, combined with INR 80.00 Crore Senior Bank Term Debt:

• Senior Bank Debt: INR 80.00 Crores @ 9.50% p.a. (First Pari-Passu Charge on land and buildings).

• Structured NCD Facility (Private Credit AIF): INR 120.00 Crores issued as Unlisted Secured NCDs.

• Pricing Structure: 10.50% p.a. Cash Coupon (paid quarterly) + 3.50% p.a. PIK Interest (compounded annually) + 2.00% p.a. Redemption Premium at Year 4 exit, delivering a Target All-In Yield (YTM) of 16.00% p.a.

• Security Package: Second Pari-Passu charge on fixed assets + Exclusive Escrow TRA charge on warehousing rental receivables + 51% Demat Share Pledge of promoter equity shares (2.20x cover ratio).

8.3 5-Year Financial & Debt Service Waterfall Model

The table below details VLWPL's financial trajectory, cash waterfall servicing, PIK accruals, and debt deleveraging over the 5-year loan tenure (Figures in INR Crores):

Financial Metric (INR Cr)	Year 1	Year 2	Year 3	Year 4	Year 5	5-Yr Total / Notes
Gross Revenue	320.00	380.00	450.00	530.00	620.00	Acquisition scales revenue

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Operating EBITDA	45.00	58.00	72.00	88.00	105.00	EBITDA margin expands
Senior Debt Servicing	12.60	12.00	11.40	10.80	10.20	Principal + Int @ 9.5%
NCD Cash Coupon (10.5%)	12.60	12.60	12.60	12.60	0.00	Quarterly cash coupon
NCD PIK Accrual (3.5%)	4.20	4.35	4.50	4.66	0.00	Compounded to principal
NCD Principal Repayment	0.00	10.00	20.00	98.71	0.00	Year 4 exit via refinance
Projected DSCR (x)	1.35x	1.48x	1.64x	1.82x	2.10x	Strong coverage buffer

Case Study Outcome: By utilizing structured corporate debt, VLWPL successfully acquired the 3 logistics parks without diluting promoter equity. By Year 4, EBITDA expanded from INR 45 Cr to INR 88 Cr, enabling the company to refinance the remaining NCD facility via low-cost senior bank credit @ 8.75% p.a., achieving an outstanding 16.20% realized IRR for the Private Credit AIF.

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CHAPTER 9: REGULATORY FRAMEWORK, RBI DIRECTIVES & IBC INTEGRATION

9.1 Regulatory Overview

• Reserve Bank of India (RBI): Regulates NBFC lending limits, Prudential Framework for Stressed Assets, and Concentration Risk Norms.

• SEBI Regulations: Governs listed and unlisted NCD issuances under SEBI (NCS) Regulations and regulates Category II Alternative Investment Funds (AIFs) under SEBI (AIF) Regulations 2012.

• Taxation Framework: Interest paid on structured debt is fully tax-deductible under Section 36(1)(iii) of the Income Tax Act 1961. Category II AIFs enjoy statutory Tax Pass-Through status under Section 115UB, where tax is levied at the investor level.

9.2 Insolvency and Bankruptcy Code (IBC) 2016 Integration

In the event of corporate default, structured debt holders holding NCDs or credit facilities possess robust enforcement rights:

1. Financial Creditor Status: Structured debt holders are classified as Financial Creditors under Section 5(7) of the IBC, granting them automatic rights to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7 before the NCLT.

2. Committee of Creditors (CoC) Voting: Secured structured lenders hold CoC voting rights proportional to their financial debt exposure. A 66% CoC voting majority is required to approve a binding Resolution Plan.

3. Statutory Liquidation Waterfall (Section 53): In liquidation, secured structured lenders ranking as 1st/2nd charge holders receive priority payout over unsecured creditors, statutory government dues, and equity shareholders.

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CHAPTER 10: ROOKIE MASTERY EXAMINATION (15 HIGH-YIELD TEST Q&As)

This section contains 15 high-yield, scenario-based examination questions with detailed answers designed to test complete operational mastery of Structured Corporate Debt:

Q1: What defines Structured Corporate Debt compared to a traditional bank loan?

A1: Structured corporate debt is a customized, non-standard credit facility engineered around specific asset pools, project cash flows, or promoter equity holdings. Unlike standardized bank loans, it features flexible repayment schedules (PIK, cash sweeps, bullet repayments) and higher yields (13%–18% YTM).

Q2: Explain the concept and benefit of Payment-In-Kind (PIK) interest.

A2: PIK interest allows a borrower to accrue and compound a portion of interest to the principal loan balance rather than paying cash immediately. This preserves operational liquidity during early growth phases while ensuring the lender earns a higher compounded return at exit.

Q3: How does a Cash-Flow Sweep mechanism protect lenders?

A3: A cash-sweep clause contractually obligates the borrower to channel a designated percentage (e.g., 50%–75%) of excess annual free cash flow toward early debt prepayment, accelerating deleveraging during high-profitability periods.

Q4: What is the primary purpose of a Trust & Retention Account (TRA) / Escrow Waterfall?

A4: A TRA Escrow isolates all operational cash flows into a legally binding bank account where funds are disbursed strictly according to a contractually agreed priority waterfall (Statutory Dues -> O&M -> Senior Debt -> Structured Debt -> DSRA -> Surplus).

Q5: What is the statutory role of a SEBI-registered Debenture Trustee in structured NCDs?

A5: A Debenture Trustee acts as a legal fiduciary holding security charges on behalf of debenture holders, monitoring covenant compliance, enforcing security upon default, and representing debenture holders in legal/NCLT proceedings.

Q6: How does Structural Subordination differ from Contractual Subordination?

A6: Structural subordination occurs when debt is issued at the Holding Company (HoldCo) level, making its claim junior to Operating Company (OpCo) bank debt. Contractual subordination is established via an Intercreditor Agreement (ICA) where junior lenders explicitly agree to stand behind senior lenders.

Q7: What is a dynamic Margin Call / Top-Up Trigger in share pledge structures?

A7: A margin call trigger requires the promoter to pledge additional demat equity shares or cash collateral within a strict timeframe (e.g., 2 business days) if market price falls cause the share cover ratio to drop below a specified threshold (e.g., 1.8x).

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Q8: Why is interest paid on structured debt advantageous for tax planning?

A8: Interest paid on business debt is fully tax-deductible as a business expense under Section 36(1)(iii) of the Income Tax Act 1961, reducing corporate taxable income, whereas equity dividend payments are non-deductible.

Q9: What tax benefit do Category II Alternative Investment Funds (AIFs) enjoy under Section 115UB?

A9: Category II AIFs enjoy statutory Tax Pass-Through status under Section 115UB, meaning income generated by the fund is taxed directly in the hands of investors rather than at the fund level, avoiding double taxation.

Q10: What is the legal requirement for filing security charges with the ROC in India?

A10: Under Section 77 of the Companies Act 2013, a company creating a security charge on its assets must file ROC Form CHG-1 with the Registrar of Companies within 30 days of charge creation.

Q11: How does the Insolvency and Bankruptcy Code (IBC) 2016 treat structured debt holders?

A11: Structured debt holders are classified as Financial Creditors under Section 5(7) of the IBC, granting them Section 7 CIRP initiation rights before the NCLT and voting representation on the Committee of Creditors (CoC).

Q12: Where do secured structured lenders rank under the IBC Section 53 Liquidation Waterfall?

A12: Secured structured lenders rank at Tier 2 alongside workmen's dues, receiving priority distribution ahead of unsecured financial creditors, statutory government taxes, and common equity shareholders.

Q13: What is a Hard Lock-In Period in structured debt pricing?

A13: A hard lock-in period (typically 12–24 months) is a clause prohibiting the borrower from voluntarily prepaying or refinancing the debt, ensuring the lender earns its minimum target interest yield.

Q14: Explain the calculation of Debt Service Coverage Ratio (DSCR).

A14: DSCR = (EBITDA + Non-Cash Expenses) / (Interest Obligations + Principal Repayments). A DSCR above 1.0x indicates that operating cash flow is sufficient to cover annual debt obligations; structured debt typically requires 1.25x–1.35x.

Q15: What makes structured debt attractive for promoter buyout transactions?

A15: Structured debt allows promoters to raise substantial capital secured against existing assets or equity share pledges to buy out minority PE investors or acquire target companies without diluting their voting equity control.

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